Company Registration No. 06133975 (England and Wales)

LUTON TOWN FOOTBALL CLUB 2020 LTD

REPORT AND FINANCIAL STATEMENTS
FOR THE YEAR ENDED
30 JUNE 2021

WEDNESDAY
AAYWT4NF
A10 02/03/2022 #226
COMPANIES HOUSE

LUTON TOWN FOOTBALL CLUB 2020 LTD

COMPANY INFORMATION

Directors	G Sweet D Wilkinson P Ballantyne M Herrick R Curson S Browne R Stringer T Schofield
Secretary	D Wilkinson
Company number	06133975
Registered office	Kenilworth Stadium 1 Maple Road East Luton Bedfordshire LU4 8AW
Auditor	RSM UK Audit LLP Chartered Accountants The Pinnacle 170 Midsummer Boulevard Milton Keynes MK9 1BP
Business address	Kenilworth Stadium 1 Maple Road East Luton Bedfordshire LU4 8AW

LUTON TOWN FOOTBALL CLUB 2020 LTD

STRATEGIC REPORT

FOR THE YEAR ENDED 30 JUNE 2021

The directors present the strategic report for the year ended 30 June 2021.

Fair review of the business

The 2020/21 season was an opportunity for the club to consolidate its position in the EFL Championship, having retained its status on the last day of the previous season. Unfortunately, due to continuing restrictions imposed as result of the COVID-19 pandemic, the entire season, with the welcome exception of two matches in early December, had to be played behind-closed-doors.

The loss of an entire season's matchday revenue, on top of the financial hardships experienced at the back end of the 2019/20 season, would prove enormously challenging. However, a longstanding commitment to sustainability and financial discipline, had put the club in a strong position to weather this storm and, ultimately, it was able to deliver another season of progression on the pitch, without jeopardising future ambitions.

Following the delayed conclusion to the 2019/20 season, preparations for 2020/21 began in earnest. The club released Jacob Butterfield and Callum McManaman, after short spells with the club, and brought in Jordan Clark from Accrington Stanley, James Bree from Aston Villa, as well as Welsh internationals Tom Lockyer from Charlton Athletic and Joe Morrell from Bristol City, all on permanent contracts. In early October, the club also secured the loan signing of Leicester City midfielder, Kiernan Dewsbury-Hall, who would showcase his Premier League pedigree throughout the campaign. Gabriel Osho would also sign a permanent deal in November, having been released by Reading.

The team made a fantastic start to the league campaign with three wins from the first four matches leaving it fifth in the table. A mixed run of results was to follow, dropping the team back to mid-table towards the end of the calendar year. There was brief hope of a return to normality during December as the club defeated both Norwich City and Preston North End in front of restricted crowds. Despite the painstaking efforts by everyone at the club to ensure these matches ran safely and successfully, the government quickly re-imposed a national lockdown and the team was once again forced to play in empty stadia. The lack of fans was perhaps felt most keenly as decent showings in both cups ended at Kenilworth Road against Manchester United in the third round of the EFL Cup and at Stamford Bridge against Chelsea in the fourth round of the FA Cup.

The club took the opportunity to further strengthen the squad during the January transfer window, bringing in Kal Naismith from Wigan Athletic and Elijah Adebayo from Walsall and continued to occupy mid-table positions. In April, a home win against Watford, followed by a goalless draw against Reading, lifted the team to twelfth place, where they would finish the season.

As with the previous season the club's fanbase showed fantastic support, setting record viewing numbers on i-Follow and donating refunds to a dedicated player transfer budget 'the Transfer Club' to support the squad rebuilding effort. One side effect of the pandemic was that a much larger than normal number of senior players would be out of contract at the end of the season. The club kicked off an early recruitment drive for 2021/22, utilising all of the Transfer Club donations to sign Fred Onyedinma from Wycombe Wanderers, Allan Campbell from Motherwell and Carlos Mendes Gomes from Morecambe all before the end of June.

At the time of presenting these financial statements, the first team has performed well during the first half of the 2021/22 campaign, once again occupying a solid mid-table position and the Academy remains on track to achieve EPPP Category 2 status in the near future.

Financial overview

As a result of the continuing restrictions imposed as result of the COVID-19 pandemic, almost the entire season, had to be played behind-closed-doors. This affected all categories of matchday revenue including tickets, hospitality and catering. Season ticket holders once again demonstrated their generosity and support for the club, by overwhelmingly choosing to accept access to the iFollow platform in exchange for a percentage of their season ticket value. Overall matchday related revenue dropped from £4.1m to £1.1m.

Central distributions (including broadcasting and media income) increased compared to the prior year, from £8.6m to £9.6m. This increase was driven by sales of iFollow match passes as physical attendance remained prohibited.

Average monthly employees decreased sharply from 316 to 178 due to matches being played behind-closed-doors, impacting upon the need for casual workers. Aggregate staff remuneration increased from £14m (13 month period) to £14.1m (12 month period), principally driven by the team's improved performance translating into higher bonus payments. The club continued to use the UK Government Coronavirus Job Retention Scheme (CJRS) to retain staff members who were not able to carry out their normal day-to-day roles whilst restrictions remained in force. These grants have been included in other operating income and are similar in value to the prior year.

The club incurred additional costs to ensure compliance with COVID regulations. Players and coaching staff continued to participate in the central EFL testing programme and expenditure on protective equipment, signage, and cleaning materials was required throughout the season.

Other operating income has risen significantly in 2021 as the balance of the club's business interruption insurance claim was settled. Whilst this additional income was welcome, liability was limited and the club's financial losses were not fully recoverable. However, thanks to strict cost controls, and despite an increased gross loss (£1.3m up from £0.8m), the club was able to reduce its losses before player trading from £5.8m to £4.1m.

Profit made on player sales enabled the club to reduce these losses by a further £2.2m. In the context of the ever present Government restrictions and their continued severe impact on financial performance throughout 2020/21, an operating loss of less than £2m could be seen as a decent outcome.

A summary of results is provided below:

	Year ended 30 June 2021 £'000	13 month period ended 30 June 2020 £'000
Turnover - as restated in 2020 (note 3)	12,660	14,997
Operating Costs	(19,716)	(21,940)
Other Operating income	2,912	1,137
Loss before player trading	(4,144)	(5,803)
Player trading	2,200	9,163
Operating (loss)/profit	(1,944)	3,359

Continued investment in the first team, increased the value of non-current assets by £1.2m to £3.4m. As well as the EFL COVID loan (£584k), taken in the prior year, the club also benefitted from the EFL PAYE loan (£5.4m). This additional loan, made available to all EFL Championship clubs who could meet the lending criteria, was secured by the EFL to assist Championship clubs with the effects of the pandemic. The club paid its PAYE liabilities in full, as they fell due, throughout the year, so the substantial increase in creditors was a result of the EFL loans only.

Key performance indicators
The company considers there to be a number of financial and non-financial key performance indicators ("KPI's") which are used in assessing the success of the company:

	Year ended 30 June 2021	13 month period ended 30 June 2020
Turnover (£'000) - as restated in 2020 (note 3)	12,660	14,997
Loss before player trading (£'000)	(4,144)	(5,803)
EBITDA (£'000)	(404)	4,991
All-staff wages to turnover ratio	111%	93%
All-staff wages to turnover & other operating income ratio	91%	87%
Academy players registered in first team squad	6	6

Two wages ratios have been shown as the standard KPI, against turnover, was adversely impacted by the loss of matchday revenue. As operating income included CJRS grants and business interruption insurance, both intended to compensate for financial losses, a comparison of wages to turnover plus other operating income, is a fairer indicator of the club's relative wage costs under the unique circumstances of the pandemic. By this measure, it is clear that the club continues to strike a careful balance between proportionate wage costs and a competitive football squad.

Principal risks and uncertainties
The football club continues to make comparatively small financial losses. Its existing investors have confirmed their commitment to continue to fund the Club for the foreseeable future.

Financial risk management objectives and policies

League status risk
Due to the current distribution model of the football league, a principal risk for the football club is the performance of the first team in relation to league status. The group manages the impact of this through control of player wages (relegation clauses) and situational planning dependent upon league status.

Credit risk
Financial instruments that potentially subject the club to credit risk consist primarily of cash equivalents and accounts receivable. These instruments contain a risk of counterparties failing to discharge their obligations. The club monitors credit risk and manages credit risk exposure by assessing the creditworthiness of counterparties. Due to the diversity of the debtor portfolio, the club does not assess this to pose a significant risk to the club at present.

Liquidity risk
Our liquidity needs are affected by our performance on the pitch which impacts revenues and wage costs. Budgets and cashflows are prepared annually and forecasts are updated on a monthly basis so funding requirements are planned and approved well in advance.

Operational risk
The club now operates a cashless stadium and has introduced access control systems for staff and fans. This has greatly reduced operational risk associated with cash payments and unauthorised entry. Further investment in technology is anticipated during the course of the 2021/22 season.

COVID-19 risk
At the time of writing the club has been able to allow fans to return to matches without restriction. There does, however, remain a risk that further measures could be imposed during the course of the season, that could further impact the club financially. In addition to financial risk, the need to maintain a healthy and safe working environment remains paramount whilst the pandemic is on-going.

Significant efforts have been made in order ensure that all sites controlled by the club meet the required safety standards needed for employees to carry out their roles.

The club continues to apply a prudent approach to investment and expenditure in order to secure the long term future of the group.

Future developments
The strategy for the football club remains to continue to strengthen the team and to increase stability in our infrastructure at a sensible and affordable pace with the aim of providing a strong base from which to consolidate the club's position in the upper echelons of the football pyramid whilst planning for longer-term progression.

Whilst recognising the importance of success on the field we are also focused on achieving a sustainable financial model for the football club and as such player budgets are set with those targets in mind and to invest in talent recruitment by way of obtaining value. The Board remains focused on delivering improved contribution from the commercial side of the business whilst keeping overheads under control.

Our plans for the Club in the future revolve around building a new stadium, significantly increasing capacity over the next few years whilst adding further matchday and non-matchday revenues to establish greater financial stability. The plan as it stands is for contributions from the sale of the developments at Newlands Park and Power Court to fully fund the development costs of the Stadium complex at Power Court leaving the Club with a brand new stadium, from which to increase earnings. This, we believe, will provide the financial security the Club needs to operate at higher levels and enable greater football ambition and more powerful supporter and community engagement.

On behalf of the board

G Sweet
Director

Date: 28/02/22

LUTON TOWN FOOTBALL CLUB 2020 LTD

DIRECTORS' REPORT

FOR THE YEAR ENDED 30 JUNE 2021

The directors present their annual report and financial statements for the year ended 30 June 2021.

The company changed its reporting date in the prior period from 31 May to 30 June to align with the wider football industry in terms of league funding and sponsorship deals. Consequently, the prior period financial statements covered the 13 month period ending 30 June 2020 as compared to the current period for the year ending 30 June 2021. The comparative amounts presented in the financial statements, including the related notes, are therefore not entirely comparable.

Principal activities
The principal activity of the company continues to be that of a professional football club.

Directors
The directors who held office during the year and up to the date of signature of the financial statements were as follows:

G Sweet
D Wilkinson
P Ballantyne
M Herrick
R Curson
S Browne
R Stringer
T Schofield (Appointed 23 February 2021)

Results and dividends
The results for the year are set out on page 12.

No ordinary dividends were paid. The directors do not recommend payment of a final dividend.

Qualifying third party indemnity provisions
The company has made qualifying third party indemnity provisions for the benefit of its directors during the year. These provisions remain in force at the reporting date.

Research and development
A crucial aspect of the company's operations includes a specialist sports science and sports medicine team. Having decades of technical experience in the field among its highly qualified sports science and sports medicine workforce, the company researches and develops an extensive range of state of the art and innovative solutions towards injury rehabilitation, physiological performance and injury prevention. The technical team have undergone continuous training and development in order to culture new innovation within their practices. This has facilitated the prognosis and successful treatment in highly complex and high profile cases.

Disabled persons
Applications for employment by disabled persons are always fully considered, bearing in mind the aptitudes of the applicant concerned. In the event of members of staff becoming disabled, every effort is made to ensure that their employment within the company continues and that the appropriate training is arranged. It is the policy of the company that the training, career development and promotion of disabled persons should, as far as possible, be identical to that of other employees.

Employee engagement

The company holds weekly management meetings, either in person or virtually, attended by departmental managers in order to ensure that information can then be disseminated downwards to each department and employee.

The company actively encourages employees in any efforts to further their development via flexible working hours and the funding of external training where applicable.

In addition, the company has continued to take advantage of government relief such as the furlough scheme in order to safeguard employment for those employees which might otherwise have been at risk of redundancy as a result of the pandemic.

In 2014 Luton Town Football Club became the first English professional football club to become a fully accredited Living Wage employer, paying the 'Real Living Wage'. The commitment to pay all employees a 'Real Living Wage' has been maintained throughout the period, despite the uncertainty which has faced the industry.

Administrative employees were provided the required office equipment in order to ensure that working from home was a realistic and safe option during periods of Government restrictions.

Various measures were implemented both at the training ground and stadium in order to ensure that it remained a safe environment for players and coaching staff. This included questionnaires and temperature checks for those attending the training ground or stadium, the establishment of numerous sanitation sites and the circulation of personal protective equipment. The club fully complied with the EFL protocols including regular testing of players and staff.

The company offers a range of support to promote the health and mental wellbeing of staff. The Employee Assistance Programme (EAP), which is confidential and managed independently by Health Assured, is available to all staff and immediate family members. Annual health assessments are also undertaken for key workers and senior executives.

The company continues to be an equal opportunities employer which is designed to ensure that all applicants and employees receive the same treatment. Through the implementation of these principles, the company has a staff that reflects the diversity of the town and wider region.

Upwards feedback from employees to managers is encouraged to drive improvement and employee engagement. Employees are frequently involved in decision making through discussions with their managers.

Auditor

RSM UK Audit LLP have indicated their willingness to be reappointed for another term and appropriate arrangements have been put in place for them to be deemed reappointed as auditors in the absence of an Annual General Meeting.

Strategic report

The company has chosen in accordance with Companies Act 2006, s. 414C(11) to set out in the company's strategic report information required by Large and Medium-sized Companies and Groups (Accounts and Reports) Regulations 2008, Sch. 7 to be contained in the directors' report. It has done so in respect of financial risk management objectives and policies and future developments.

Statement of disclosure to auditor

So far as each person who was a director at the date of approving this report is aware, there is no relevant audit information of which the company's auditor is unaware. Additionally, each director has taken all the necessary steps that they ought to have taken as a director in order to make themselves aware of all relevant audit information and to establish that the company's auditor is aware of that information.

On behalf of the board

.....

G Sweet
Director

Date: 28/02/22

LUTON TOWN FOOTBALL CLUB 2020 LTD

DIRECTORS' RESPONSIBILITIES STATEMENT

FOR THE YEAR ENDED 30 JUNE 2021

The directors are responsible for preparing the Strategic Report and the Directors' Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial period. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

The directors are responsible for the maintenance and integrity of the company website. Legislation in the United Kingdom governing the preparation and dissemination of financial statements may differ from legislation in other jurisdictions.

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF LUTON TOWN FOOTBALL CLUB 2020 LTD

Opinion

We have audited the financial statements of Luton Town Football Club 2020 Ltd (the 'company') for the year ended 30 June 2021 which comprise the statement of comprehensive income, the statement of financial position, the statement of changes in equity and notes to the financial statements, including significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland" (United Kingdom Generally Accepted Accounting Practice).

In our opinion, the financial statements:

- give a true and fair view of the state of the company's affairs as at 30 June 2021 and of its loss for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice;
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Conclusions relating to going concern

In auditing the financial statements, we have concluded that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the company's ability to continue as a going concern for a period of at least twelve months from when the financial statements are authorised for issue.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

Other information

The other information comprises the information included in the annual report, other than the financial statements and our auditor's report thereon. The directors are responsible for the other information contained within the annual report. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Opinions on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the strategic report and the directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the strategic report and the directors' report have been prepared in accordance with applicable legal requirements.

Matters on which we are required to report by exception

In the light of the knowledge and understanding of the company and its environment obtained in the course of the audit, we have not identified material misstatements in the strategic report or the directors' report.

We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of directors

As explained more fully in the directors' responsibilities statement set out on page 8, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

The extent to which the audit was considered capable of detecting irregularities, including fraud

Irregularities are instances of non-compliance with laws and regulations. The objectives of our audit are to obtain sufficient appropriate audit evidence regarding compliance with laws and regulations that have a direct effect on the determination of material amounts and disclosures in the financial statements, to perform audit procedures to help identify instances of non-compliance with other laws and regulations that may have a material effect on the financial statements, and to respond appropriately to identified or suspected non-compliance with laws and regulations identified during the audit.

In relation to fraud, the objectives of our audit are to identify and assess the risk of material misstatement of the financial statements due to fraud, to obtain sufficient appropriate audit evidence regarding the assessed risks of material misstatement due to fraud through designing and implementing appropriate responses and to respond appropriately to fraud or suspected fraud identified during the audit.

However, it is the primary responsibility of management, with the oversight of those charged with governance, to ensure that the entity's operations are conducted in accordance with the provisions of laws and regulations and for the prevention and detection of fraud.

In identifying and assessing risks of material misstatement in respect of irregularities, including fraud, the audit engagement team:

- obtained an understanding of the nature of the industry and sector, including the legal and regulatory framework that the company operates in and how the company is complying with the legal and regulatory framework;
- inquired of management, and those charged with governance, about their own identification and assessment of the risks of irregularities, including any known actual, suspected or alleged instances of fraud;
- discussed matters about non-compliance with laws and regulations and how fraud might occur including assessment of how and where the financial statements may be susceptible to fraud.

As a result of these procedures we consider the most significant laws and regulations that have a direct impact on the financial statements are FRS 102, the Companies Act 2006, and tax compliance regulations. We performed audit procedures to detect non-compliances which may have a material impact on the financial statements which included reviewing financial statement disclosures and evaluating tax calculations.

The most significant laws and regulations that have an indirect impact on the financial statements are those in relation to English Football League (EFL) regulations. We performed audit procedures to inquire of management whether the company is in compliance with these laws and regulations and inspected correspondence with the EFL.

The audit engagement team identified the risk of management override of controls as the area where the financial statements were most susceptible to material misstatement due to fraud. Audit procedures performed included but were not limited to testing manual journal entries and other adjustments and evaluating the business rationale in relation to significant, unusual transactions and transactions entered into outside the normal course of business.

A further description of our responsibilities for the audit of the financial statements is located on the Financial Reporting Council's website at: https://www.frc.org.uk/auditorsresponsibilities This description forms part of our auditor's report.

Use of our report

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

David Olsson

David Olsson (Senior Statutory Auditor)
For and on behalf of RSM UK Audit LLP, Statutory Auditor
Chartered Accountants
The Pinnacle
170 Midsummer Boulevard
Milton Keynes
MK9 1BP
28 February 2022

LUTON TOWN FOOTBALL CLUB 2020 LTD

STATEMENT OF COMPREHENSIVE INCOME
FOR THE YEAR ENDED 30 JUNE 2021

	Notes	Year ended 30 June 2021 £	Period ended 30 June 2020 as restated £
Turnover	4	12,660,066	14,996,665
Cost of sales		(13,938,600)	(15,789,957)
Gross loss		(1,278,534)	(793,292)
Administrative expenses		(5,778,014)	(6,147,102)
Other operating income	4	2,912,156	1,137,042
Profit on player trading and other related income		2,200,063	9,162,706
Operating (loss)/profit	7	(1,944,329)	3,359,354
Interest receivable and similar income	9	-	7,186
Interest payable and similar expenses	10	-	(9,727)
(Loss)/profit before taxation		(1,944,329)	3,356,813
Taxation	11	-	-
(Loss)/profit for the financial year	23	(1,944,329)	3,356,813

Company Registration No. 06133975

LUTON TOWN FOOTBALL CLUB 2020 LTD

STATEMENT OF FINANCIAL POSITION

AS AT 30 JUNE 2021

	Notes	2021 £	2021 £	2020 £	2020 £
Fixed assets					
Intangible assets	13		2,843,546		1,492,729
Tangible assets	14		601,312		748,799
			3,444,858		2,241,528
Current assets					
Stocks	15	30,841		57,061	
Debtors falling due after more than one year	16	-		2,330,000	
Debtors falling due within one year	16	8,770,041		4,420,661	
Cash at bank and in hand		1,176,417		1,221,967	
		9,977,299		8,029,689	
Creditors: amounts falling due within one year	17	(8,412,643)		(5,963,738)	
Net current assets			1,564,656		2,065,951
Total assets less current liabilities			5,009,514		4,307,479
Creditors: amounts falling due after more than one year	18		(3,991,379)		(1,364,819)
Net assets excluding pension liability			1,018,135		2,942,660
Defined benefit pension liability	21		(344,091)		(324,287)
Net assets			674,044		2,618,373
Capital and reserves					
Called up share capital	22		18,145,003		18,145,003
Profit and loss reserves	23		(17,470,959)		(15,526,630)
Total equity			674,044		2,618,373

The financial statements were approved by the board of directors and authorised for issue on 28/02/22 and are signed on its behalf by:

.....

G Sweet

Director

LUTON TOWN FOOTBALL CLUB 2020 LTD

STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 30 JUNE 2021

		Share capital	Profit and loss reserves	Total
		£	£	£
Balance at 1 June 2019		18,145,003	(19,533,443)	(1,388,440)
Period ended 30 June 2020:				
Profit and total comprehensive income for the period		-	3,356,813	3,356,813
Capital contribution	23	-	650,000	650,000
Balance at 30 June 2020		18,145,003	(15,526,630)	2,618,373
Year ended 30 June 2021:				
Loss and total comprehensive income for the year		-	(1,944,329)	(1,944,329)
Balance at 30 June 2021		18,145,003	(17,470,959)	674,044

1 Accounting policies

Company information

Luton Town Football Club 2020 Ltd is a private company limited by shares and is registered and incorporated in England and Wales. The registered office is Kenilworth Stadium, 1 Maple Road East, Luton, Bedfordshire, LU4 8AW.

The company's principal activities and nature of its operations are disclosed in the Strategic and Directors' Reports.

Accounting convention

These financial statements have been prepared in accordance with FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland" ("FRS 102") and the requirements of the Companies Act 2006, including the provisions of the Large and Medium-sized Companies and Groups (Accounts and Reports) Regulations 2008.

The financial statements are prepared in sterling, which is the functional currency of the company. Monetary amounts in these financial statements are rounded to the nearest £1.

The financial statements have been prepared under the historical cost convention. The principal accounting policies adopted are set out below.

This company is a qualifying entity for the purposes of FRS 102, being a member of a group where the parent of that group prepares publicly available consolidated financial statements, including this company, which are intended to give a true and fair view of the assets, liabilities, financial position and profit or loss of the group. The company has therefore taken advantage of exemptions from the following disclosure requirements:

- Section 7 'Statement of Cash Flows' – Presentation of a statement of cash flows and related notes and disclosures;
- Section 11 'Basic Financial Instruments' – Interest income/expense and net gains/losses for each category of financial instrument;
- Section 33 'Related Party Disclosures' – Compensation for key management personnel.

The financial statements of the company are consolidated in the financial statements of 2020 Holdings (England) Limited. These consolidated financial statements are available from its registered office, Kenilworth Stadium, 1 Maple Road East, Luton, Bedfordshire, LU4 8AW.

Going Concern

The directors have considered the impact of the Covid-19 pandemic on the company's expected future results and cash flows.

The entirety of the 2020/21 season was played behind closed doors resulting in the loss of all match day revenues and also requiring significant additional expenditure on health and safety compliance. The club's business interruption insurance policy covered a significant proportion of this lost revenue whilst income from the iFollow platform, from both season ticket holders and individual match passes, increased significantly as our fanbase continued to support the club. The club also benefited from EFL loan financing during the financial year, which it has subsequently begun repaying and continued to utilise the government job retention scheme to subsidise wage costs and minimise redundancies.

The directors have produced detailed financial forecasts to the end of the 2022/23 season. Given the sale of Newlands Park by 2020 Developments (Luton) Ltd, there is sufficient liquidity within the group to cover any cash shortfalls within the forecast period. As such, the directors have concluded that it is appropriate to continue to adopt the going concern basis in preparing these financial statements.

The financial statements do not include any adjustments that would result if the company is unable to continue as a going concern.

1 **Accounting policies (Continued)**

Reporting period
The company changed its reporting date in the prior period from 31 May to 30 June to align with the wider football industry in terms of league funding and sponsorship deals. Consequently, the prior period financial statements covered the 13 month period ending 30 June 2020 as compared to the current period for the year ending 30 June 2021. The comparative amounts presented in the financial statements, including the related notes, are therefore not entirely comparable.

Turnover
Turnover includes all revenue from football and related commercial activities exclusive of VAT.

Gate receipts and other match day revenues are recognised as the games are played.

Revenue from season ticket sales is credited to income over the period to which it relates.

Sponsorship, advertising and other similar commercial income is recognised over the duration of the contracts to which it relates.

Player trading income
Player trading income is recognised on completion of contracts. Contingent trading income is recognised when the contractual milestones are achieved. The profit arising on player trading activity, being transfer income less associated fees paid and football league levies, is reported separately in the statement of comprehensive income after gross profit.

Other operating income
Donations are recognised upon receipt.

Government grants are recognised at the fair value of the asset received or receivable when there is reasonable assurance that the grant conditions will be met and the grants will be received. A grant that specifies performance conditions is recognised in income when the performance conditions are met. Where a grant does not specify performance conditions it is recognised in income when the proceeds are received or receivable. A grant received before the recognition criteria are satisfied is recognised as a liability.

Intangible assets - player registrations
When acquired, the costs of obtaining players' registrations are capitalised and amortised evenly over the period of the associated player's contract. The amortisation period therefore varies by player depending on their contract. Provision is made where, in the opinion of directors, an impairment of the carrying value of the players' registrations has occurred. Potential future registration fees, contingent on certain conditions agreed in the registration contracts with the selling company, are disclosed as contingent liabilities (see note 25).

Profits or losses on the disposal of these registrations represents the fair value of the consideration receivable, net of any transaction costs, less the unamortised cost of the original registration.

Tangible fixed assets
Tangible fixed assets are initially measured at cost and subsequently measured at cost, net of depreciation and any impairment losses.

Depreciation is recognised so as to write off the cost of assets less their residual values over their useful lives on the following bases:

Fixtures, fittings and equipment	20% straight line
Motor vehicles	20% straight line

1 **Accounting policies (Continued)**

The gain or loss arising on the disposal of an asset is determined as the difference between the sale proceeds and the carrying value of the asset, and is credited or charged to profit or loss.

Stocks

Finished goods are valued at the lower of cost and net realisable value.

Financial instruments

The company has elected to apply the provisions of Section 11 'Basic Financial Instruments' of FRS 102 to all of its financial instruments.

Financial instruments are recognised when the company becomes party to the contractual provisions of the instrument.

Basic financial assets

Basic financial assets, which include accrued income, trade and other debtors and amounts owed by group undertakings, are initially measured at transaction price including transaction costs and are subsequently carried at amortised cost, being transaction price less any amounts settled and impairment losses.

Impairment of financial assets

Financial assets are assessed for indicators of impairment at each reporting end date.

Financial assets are impaired where there is objective evidence that, as a result of one or more events that occurred after the initial recognition of the financial asset, the estimated future cash flows have been affected. If an asset is impaired, the impairment loss is the difference between the carrying amount and the present value of the estimated cash flows discounted at the asset's original effective interest rate. The impairment loss is recognised in profit or loss.

If there is a decrease in the impairment loss arising from an event occurring after the impairment was recognised, the impairment is reversed. The reversal is such that the current carrying amount does not exceed what the carrying amount would have been, had the impairment not previously been recognised. The impairment reversal is recognised in profit or loss.

Derecognition of financial assets

Financial assets are derecognised only when the contractual rights to the cash flows from the asset expire or are settled, or when the company transfers the financial asset and substantially all the risks and rewards of ownership to another entity, or if some significant risks and rewards of ownership are retained but control of the asset has transferred to another party that is able to sell the asset in its entirety to an unrelated third party.

Basic financial liabilities

Basic financial liabilities, including trade and other creditors and accruals payable within one year that do not constitute a financing transaction are initially measured at the transaction price and subsequently measured at amortised cost, being transaction price less any amounts settled.

Where the arrangement with a creditor constitutes a financing transaction, the creditor is initially measured at the present value of future payments discounted at a market rate of interest for a similar instrument and subsequently measured at amortised cost, being transaction price less any amounts settled and the cumulative amortisation (using the effective interest method) of any difference between the amount at initial recognition and the maturity amount.

Derecognition of financial liabilities

Financial liabilities are derecognised when, and only when, the company's contractual obligations are discharged, cancelled, or they expire.

1 **Accounting policies (Continued)**

Equity instruments

Equity instruments issued by the company are recorded at the fair value of proceeds received, net of transaction costs. Dividends payable on equity instruments are recognised as liabilities once they are no longer at the discretion of the company.

Taxation

Current tax is based on taxable profit for the period. Current tax assets and liabilities are measured using tax rates that have been enacted or substantively enacted by the reporting date.

Deferred tax is calculated at the tax rates that are expected to apply to the period when the asset is realised or the liability is settled based on tax rates that have been enacted or substantively enacted by the reporting date.

Deferred tax liabilities are recognised in respect of all timing differences that exist at the reporting date. Timing differences are differences between taxable profits and total comprehensive income that arise from the inclusion of income and expenses in tax assessments in different periods from their recognition in the financial statements. Deferred tax assets are recognised only to the extent that it is probable that they will be recovered by the reversal of deferred tax liabilities or other future taxable profits.

Current tax assets and current tax liabilities and deferred tax assets and deferred tax liabilities are offset, if and only if, there is a legally enforceable right to set off the amounts and the entity intends either to settle on the net basis or to realise the asset and settle the liability simultaneously.

Employee benefits

The costs of short-term employee benefits are recognised as a liability and an expense, unless those costs are required to be recognised as part of the cost of stock or fixed assets.

The cost of any unused holiday entitlement is recognised in the period in which the employee's services are received.

Retirement benefits

The company operates a defined contribution scheme for the benefit of its employees. Contributions payable are charged to the profit or loss in the year they are payable.

The company contributes to the Football League Limited Pension and Life Assurance Scheme for certain former employees, the assets of which are held separately from those of the company in independently administered funds. The company is not able to identify its share of the assets and liabilities of the scheme but makes provision for the expected future cost of funding its obligations to fund benefits accrued at the reporting date, as advised by the Trustees (see note 21).

Leases

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessees. All other leases are classified as operating leases.

Assets held under finance leases are recognised as assets at the lower of the assets fair value at the date of inception and the present value of the minimum lease payments. The related liability is included in the statement of financial position as a finance lease obligation. Lease payments are treated as consisting of capital and interest elements. The interest is charged to profit or loss so as to produce a constant periodic rate of interest on the remaining balance of the liability.

1 **Accounting policies (Continued)**

Rentals payable under operating leases, including any lease incentives received, are charged to profit or loss on a straight line basis over the term of the relevant lease except where another more systematic basis is more representative of the time pattern in which economic benefits from the leases asset are consumed.

Research and development expenditure
Research and development expenditure is written off against profits in the period in which it is incurred.

2 **Judgements and key sources of estimation uncertainty**

In the application of the company's accounting policies, the directors are required to make judgements, estimates and assumptions about the carrying amount of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised where the revision affects only that period, or in the period of the revision and future periods where the revision affects both current and future periods.

Key sources of estimation uncertainty
The estimates and assumptions which have a significant risk of causing a material adjustment to the carrying amount of assets and liabilities are as follows.

Present value of pension obligation
The funding objective of the Trustees of the Scheme is to have sufficient assets to meet the Technical Provisions of the Scheme. In order to remove the deficit revealed at the previous actuarial valuation (dated 31 August 2020), deficit contributions are payable by all participating clubs. Payments are made in accordance with a payment schedule. Determining the present value of the clubs share of the pension obligations requires significant assumptions determined by the schemes actuaries and therefore represents a key source of uncertainty (see note 21).

3 **Prior period adjustment**

During the year the directors undertook a review of the classifications of income and expenditure.This review identified £428,445 of revenue which was incorrectly classified as other operating income in the prior period, rather than turnover. The review also identified £68,840 of expenditure classified as administrative expenses in the prior period, which should have been classified as cost of sales, given the activities of the company and the nature of the expenses.

The directors consider the effect of these errors to be material and in accordance with FRS 102 Section 10 'Accounting policies, estimates and errors' a prior period adjustment has been recognised to correct the accounting retrospectively. The effect of the prior period adjustment on the Statement of Comprehensive Income for the period ended 30 June 2020 is to increase turnover by £428,445 and decrease other operating income by the same amount, and to increase cost of sales by £68,840 and decrease administrative expenses by the same amount. The prior period adjustment had no effect on the company's equity at 1 June 2019 or 30 June 2020, or on the company's loss for the period ended 30 June 2020.

In the prior year accounts, the directors' remuneration disclosure was presented in error on the basis of amounts processed and paid through the payroll. The prior year disclosure has been restated on the basis of amounts recognised in profit and loss, as required by the Companies Act 2006.

The line items affected in the comparative Statement of Comprehensive Income are shown below.

3 Prior period adjustment (Continued)

Changes to the Statement of Comprehensive Income

Period ended 30 June 2020	As previously reported £	Adjustment £	As restated £
Turnover	14,568,220	428,445	14,996,665
Cost of sales	(15,721,117)	(68,840)	(15,789,957)
Administrative expenses	(6,215,942)	68,840	(6,147,102)
Other operating income	1,565,487	(428,445)	1,137,042
Profit for the financial period	**3,356,813**	**-**	**3,356,813**

4 Turnover and other revenue

An analysis of the company's turnover is as follows:

	2021 £	2020 as restated £
Turnover analysed by class of business		
Matchday	1,112,984	4,112,106
League distributions	9,629,235	8,599,605
Commercial	1,917,847	2,284,954
	12,660,066	14,996,665

The comparative disclosure has been restated to include £428,445 of revenue within turnover previously included within other operating income. Refer to note 3 for further details.

	2021 £	2020 as restated £
Turnover analysed by geographical market		
United Kingdom	12,660,066	14,996,665

	2021 £	2020 as restated £
Other operating income		
Grants received	579,792	463,533
Other income	2,332,364	673,509

4 Turnover and other revenue (Continued)

During the year, the company received government grants of £579,792 (2020: £463,533) under the UK Government Job Retention Scheme.

Included in other income is £2,325,829 (2020: £607,331) in respect of insurance reclaim income, and £6,535 (2020: £66,178) in respect of donations.

The comparative disclosure has been restated to exclude £428,445 of revenue previously included in other operating income. Refer to note 3 for further details.

5 Employees

The average monthly number of persons (including directors) employed by the company during the year was:

	2021 Number	2020 Number
Staff	123	129
Stewards	29	87
Matchday	26	100
Total	178	316

Their aggregate remuneration comprised:

	2021 £	2020 £
Wages and salaries	12,493,142	12,509,700
Social security costs	1,539,701	1,416,649
Pension costs	76,287	71,757
	14,109,130	13,998,106

6 Directors' remuneration

	2021 £	2020 as restated £
Remuneration for qualifying services	757,908	577,059
Company pension contributions to defined contribution schemes	10,149	1,425
	768,057	578,484

The number of directors for whom retirement benefits are accruing under defined contribution schemes amounted to 2 (2020 - 1).

6 Directors' remuneration (Continued)

Remuneration disclosed above includes the following amounts paid to the highest paid director:

	2021	2020 as restated
	£	£
Remuneration for qualifying services	662,414	549,975
Company pension contributions to defined contribution schemes	7,378	1,425

7 Operating (loss)/profit

Operating (loss)/profit for the period is stated after charging/(crediting):	2021 £	2020 £
Depreciation of owned tangible fixed assets	213,631	213,898
Profit on disposal of tangible fixed assets	-	(1,440)
Amortisation of intangible assets	1,326,728	1,417,941
Operating lease charges	319,123	408,665

8 Auditor's remuneration

Fees payable to the company's auditor and its associates:	2021 £	2020 £
For audit services		
Audit of the financial statements of the company	22,500	19,000

9 Interest receivable and similar income

	2021 £	2020 £
Interest income		
Interest on bank deposits	-	7,186

10 Interest payable and similar expenses

	2021 £	2020 £
Interest on finance leases and hire purchase contracts	-	9,727

11 Taxation

	2021	2020
	£	£
UK corporation tax on profits for the current period	-	-

The total tax charge for the year included in the statement of comprehensive income can be reconciled to the (loss)/profit before tax multiplied by the standard rate of tax as follows:

	2021	2020
	£	£
(Loss)/profit before taxation	(1,944,329)	3,356,813
Expected tax (credit)/charge based on the standard rate of corporation tax in the UK of 19.00% (2020: 19.00%)	(369,423)	637,794
Tax effect of expenses that are not deductible in determining taxable profit	3,253	9,427
Utilisation of tax losses not previously recognised as a deferred tax asset	-	(668,640)
Depreciation on assets not qualifying for tax allowances	7,015	3,722
Other permanent differences	-	285
Other	70,454	17,412
Tax losses arising in the period for which no deferred tax asset has been recognised	288,701	-
Taxation charge for the period	-	-

Deferred tax has not been recognised in respect of losses of £20,048,420 (2020: £18,528,937) because it is not considered probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits.

In the Spring Budget 2021, the Government announced measures to support economic recovery as a result of the ongoing COVID-19 pandemic. These included an increase to the UK's main corporation tax rate to 25%, which is due to be effected from 1 April 2023.

12 Player trading

The total sums payable in respect of transfer fees, compensation fees, loan fees and subsequent payments that have become due under transfers totalled £893,954 (2020: £1,933,028) at the reporting date and is included in trade creditors.

The total sums receivable in respect of transfer fees, compensation fees, loan fees and subsequent payments that have become due under transfers totalled £4,243,059 (2020: £4,787,980) at the reporting date and is included in trade debtors.

13 Intangible fixed assets

	Player registrations
	£
Cost	
At 1 July 2020	3,397,761
Additions	2,677,545
Disposals	(1,199,320)
At 30 June 2021	4,875,986
Amortisation	
At 1 July 2020	1,905,032
Amortisation charged for the year	1,326,728
Disposals	(1,199,320)
At 30 June 2021	2,032,440
Carrying amount	
At 30 June 2021	2,843,546
At 30 June 2020	1,492,729

The amortisation charge for the year is recognised within administrative expenses.

14 Tangible fixed assets

	Land and buildings Leasehold	Fixtures, fittings and equipment	Motor vehicles	Total
	£	£	£	£
Cost				
At 1 July 2020	28,946	1,489,888	136,848	1,655,682
Additions	-	66,144	-	66,144
Transfers	(28,946)	28,946	-	-
At 30 June 2021	-	1,584,978	136,848	1,721,826
Depreciation				
At 1 July 2020	28,946	807,232	70,705	906,883
Depreciation charged in the year	-	191,593	22,038	213,631
Transfers	(28,946)	28,946	-	-
At 30 June 2021	-	1,027,771	92,743	1,120,514
Carrying amount				
At 30 June 2021	-	557,207	44,105	601,312
At 30 June 2020	-	682,656	66,143	748,799

14 Tangible fixed assets (Continued)

The net carrying value of tangible fixed assets includes the following in respect of assets held under finance leases:

	2021	2020
	£	£
Motor vehicles	32,964	50,109

15 Stocks

	2021	2020
	£	£
Finished goods and goods for resale	30,841	57,061

During the year, stock with a carrying value of £62,150 (2020: £172,428) was written off. The write off was recognised within cost of sales.

The difference between the carrying value of stock and its replacement cost is not material.

16 Debtors

Amounts falling due within one year:	2021 £	2020 £
Trade debtors	4,633,773	2,521,088
Amounts owed by group undertakings	3,484,391	990,746
Other debtors	102,817	18,252
Prepayments and accrued income	549,060	890,575
	8,770,041	4,420,661

Amounts falling due after more than one year:	2021 £	2020 £
Trade debtors	-	2,330,000
Total debtors	8,770,041	6,750,661

Amounts owed by group undertakings are unsecured, interest free and have no fixed date of repayment. These amounts are repayable on demand.

17 Creditors: amounts falling due within one year

	Notes	2021 £	2020 £
Obligations under finance leases	20	11,802	10,776
Other borrowings	19	1,982,728	97,300
Trade creditors		1,344,667	2,118,721
Taxation and social security		533,921	1,149,620
Other creditors		40,868	42,064
Accruals and deferred income		4,498,657	2,545,257
		8,412,643	5,963,738

18 Creditors: amounts falling due after more than one year

	Notes	2021 £	2020 £
Obligations under finance leases	20	25,723	37,525
Other borrowings	19	3,965,656	486,700
Trade creditors		-	381,045
Other creditors		-	459,549
		3,991,379	1,364,819

Included in other creditors due after one year at the comparative reporting date is £459,549 of deferred salaries under a salary deferral agreement. The amounts were payable on demand if certain events occurred before July 2021. As these events were within the company's control, the amount was included within creditors due after one year at the comparative reporting date. The deferred salaries were repaid during the year.

19 Borrowings

	2021 £	2020 £
Other loans	5,948,384	584,000
Payable within one year	1,982,728	97,300
Payable after one year	3,965,656	486,700

19 Borrowings (Continued)

During the prior period, the company received a loan from the English Football League ('EFL') of £584,000 to support the operation of the club during the COVID-19 pandemic. Repayments were originally due to be made in 6 equal bi-annual instalments and deducted from future EFL income. During the year, the EFL announced that repayments would be deferred as a result of the continuation of the COVID-19 pandemic with the first repayment due in October 2021. At the year end, £194,600 was payable within one year and £389,400 was payable after one year. Amounts are included in other borrowings. No interest is charged on this loan.

During the year, the company received an additional loan from the EFL of £5,364,384 to support the operation of the club during the COVID-19 pandemic. Repayments will be made in 6 equal bi-annual instalments and will be deducted from future Premier League Solidarity income. At the year end, £1,788,128 was payable within one year and £3,576,256 was payable after one year. Amounts are included in other borrowings. No interest is charged on this loan.

20 Finance lease obligations

Future minimum lease payments due under finance leases:	2021 £	2020 £
Less than one year	11,802	10,776
Between one and five years	25,723	37,525
	37,525	48,301

Finance lease terms represent rentals payable by the group for certain motor vehicles. The average lease term is 5 years. The liability is secured on the related assets.

21 Retirement benefit schemes

Defined contribution schemes	2021 £	2020 £
Charge to profit or loss in respect of defined contribution schemes	76,287	71,757

A defined contribution pension scheme is operated for all qualifying employees. The assets of the scheme are held separately from those of the company in an independently administered fund. Contributions totalling £12,954 (2020: £7,346) were payable to the fund at the reporting date and are included in other creditors.

Defined benefit schemes

Luton Town Football Club ('the Club') participates in the Football League Pension and Life Assurance Scheme ('the Scheme'). The Scheme is a funded multi-employer defined benefit scheme, with 92 participating employers, and where members may have periods of service attributable to several participating employers. The Club is unable to identify its share of the assets and liabilities of the Scheme and therefore accounts for its contributions as if they were paid to a defined contribution scheme.

The last actuarial valuation was carried out at 31 August 2020 where the total deficit on the on-going valuation basis was £27.553 million. The key assumptions used to calculate the deficit at the 31 August 2020 actuarial valuation are:

21 Retirement benefit schemes (Continued)

Valuation	
Discount Rate:	Gilt Yield Curve + 2.0% per annum
RPI inflation:	Bank of England Inflation Curve
Pension Increases:	Fixed 3.0% per annum for benefits accrued prior to 6 April 1997, and modelled using the RPI inflation assumption with a cap of 5.0% per annum and a floor of 3.0% per annum for benefits accrued after 6 April 1997
Mortality (pre-retirement):	None
Mortality (post-retirement):	SAPS (Series 3) with CMI_2019 projections, a long-term improvement rate of 1.5% p.a. and an initial additional parameter of 0.5% p.a.

The accrual of benefits ceased within the Scheme on 31 August 1999, therefore there are no contributions relating to current accrual. The Club pays monthly contributions based on a notional split of the total expenses and deficit contributions of the Scheme.

The results of the 2020 valuation were rolled forward to 30 June 2021 on the same assumptions as detailed above, and the Club's notional share of the deficit was £299,518 (£253,390 as at 30 June 2020 based on the 2017 valuation).

As at 30 June 2021, the Club was paying total contributions of £4,158 per month (increasing by 5% p.a. on 1 September each year thereafter) and based on the actuarial valuation assumptions detailed above will be sufficient to pay off the deficit by 30 June 2027.

As at 30 June 2021, based on an appropriate discount rate of 0.78% per annum (0.70% per annum as at 30 June 2020), the present value of the Club's outstanding contributions (i.e. their future liability) is £344,091 (£324,287 as at 30 June 2020). This amounts to £51,852 (30 June 2020: £49,494) due within one year and £292,239 (30 June 2020: £274,793) due after more than one year and is included within provisions.

	2021 £	2020 £
Present value of defined benefit obligations	344,091	324,287
Deficit in scheme	344,091	324,287

21 Retirement benefit schemes (Continued)

Movements in the present value of defined benefit obligations	2021 £
Liabilities at 1 July 2020	324,287
Deficit contributions	(49,494)
Net interest charge	2,096
Remeasurement	67,202
Liabilities at 30 June 2021	344,091

The defined benefit obligations arise from plans which are wholly or partly funded.

Income and Expenditure Impact

	2021 £	2020 £
Net interest charge (Unwinding of discount rate)	2,096	4,984
Remeasurement (changes in assumptions)	(555)	6,451
Remeasurement (changes to contribution schedule)	67,757	-

Assumptions

	2021	2020
Discount Rate (based on AA Corporate Bond Yields of appropriate currency/duration)	0.78%	0.70%

The funding objective of the Trustees of the Scheme is to have sufficient assets to meet the Technical Provisions of the Scheme. In order to remove the deficit revealed at the previous actuarial valuation (dated 31 August 2020), deficit contributions are payable by all participating clubs. Payments are made in accordance with a pension contribution schedule. As the Scheme is closed to accrual, there are no additional costs associated with the accruing of members' future benefits. In the case of a club being relegated from the Football League and being unable to settle its debt then the remaining clubs may, in exceptional circumstances, have to share the deficit.

Upon the wind-up of the Scheme with a surplus, any surplus will be used to augment benefits. Under the more likely scenario of there being a deficit, this will be split amongst the clubs in line with their contribution schedule. Should an individual club leave the Scheme, they may be required to pay their share of the deficit based on a proxy buyout basis (i.e. valuing the benefits on a basis consistent with buying out the benefits with an insurance company).

22 Share capital

	2021 Number	2020 Number	2021 £	2020 £
Ordinary share capital				
Issued and fully paid				
Ordinary shares of £1 each	18,145,003	18,145,003	18,145,003	18,145,003

The shares have attached to them full voting, dividend and capital distribution (including on winding up) rights.

23 Reserves

Profit and loss reserves
Cumulative profit and loss net of distributions to owners.

In the prior year, the company received a capital contribution of £650,000 being the proceeds of shares issued in the parent entity, 2020 Holdings (England) Limited, passed down to the company.

24 Operating lease commitments

Lessee
At the reporting end date the company had outstanding commitments for future minimum lease payments under non-cancellable operating leases, which fall due as follows:

	2021	2020
	£	£
Within one year	179,739	179,426
Between one and five years	488,396	531,265
In over five years	157,500	247,500
	825,635	958,191

25 Contingent assets and liabilities

Player registration fees

Excluding items already provided in the Statement of Financial Position, at 30 June 2021 the Company had a liability to pay up to £700,000 of additional transfer fees (2020: £2,014,425) in respect of players under contract, dependent upon a number of contingent events occurring after the year end, such as players making specific numbers of appearances and gaining international honours.

At 30 June 2021, the Company had expected contingent sums receivable of £1,809,000 (2020: £2,309,000) in respect of players sold, should certain contingent events occur. The total contingent sum receivable is based on the probable outcome of a range of factors.

26 Related party transactions

During the year the company the company advanced £2,637,644 (2020: £898,671) to a fellow group company and was recharged £144,000 (2020: £156,000) from the same fellow group company . After advances and recharges, £3,484,391 (2020: £990,746) was due from the fellow group undertaking at the reporting date.

27 Directors' transactions

Description	% Rate	Opening balance £	Amounts advanced £	Amounts repaid £	Closing balance £
Amounts due to directors	-	-	620,000	(620,000)	-
		-	620,000	(620,000)	-

Amounts due to directors represents loan balances from individuals who are directors or quasi directors and are un-secured and are not interest bearing. Such amounts are typically repaid or converted to equity on the parent undertaking within a year of being made.

28 Parent company

The immediate and ultimate parent company is 2020 Holdings (England) Limited, a private company registered in England and Wales. The smallest and largest group in which the company's accounts are consolidated is that of 2020 Holdings (England) Limited, the accounts are available from Kenilworth Stadium, 1 Maple Road, Luton, Bedfordshire, LU4 8AW.